

GENERAL CREDIT ELIGIBILITY AND UNDERWRITING POLICY

Document Classification: SYNTHETIC DEMONSTRATION POLICY

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Purpose: Research Prototype Evaluation

IMPORTANT NOTICE:

This is a synthetic demonstration policy created exclusively for testing an academic research prototype. It is NOT an actual bank policy, regulatory document, or financial institution guideline. It must not be used for real-world lending decisions.

1. Purpose

This policy defines general demonstration criteria that may be considered when evaluating a loan application within the research prototype.

The purpose of this document is to provide policy evidence to the Policy-Aware AI Decision Support System during demonstration and testing.

2. Applicant Eligibility

An applicant should generally demonstrate:

- A stable source of income.
- A reasonable period of employment or business activity.
- Sufficient repayment capacity.
- Appropriate documentation supporting the application.
- A loan purpose that is consistent with the requested loan product.

3. Income and Repayment Capacity

The applicant's monthly income should be considered together with existing monthly loan repayment obligations.

Applications involving relatively high requested loan amounts compared with the applicant's income should receive additional underwriting attention.

The existence of significant existing debt may reduce the applicant's repayment capacity.

4. Employment Stability

Longer employment duration may provide evidence of greater income stability.

Applicants with very short employment duration or without a stable income source may require additional verification.

5. Existing Loans

The presence of existing loans should be considered when assessing the applicant's overall repayment burden.

An applicant with significant existing repayment obligations may require additional assessment before a positive recommendation is provided.

6. Documentation

Required documents should be submitted before a final positive lending recommendation is made.

Applications with missing or uncertain documentation should normally be referred for manual verification.

7. Collateral and Guarantor

Where the relevant loan product requires security, collateral and/or guarantor information should be verified.

The absence of required security should be treated as a potential policy concern.

8. Decision Support Principle

A statistical machine learning prediction should not independently constitute a final lending decision.

The final recommendation should consider:

1. Applicant information.
2. Statistical model prediction.
3. Explainable AI evidence.
4. Applicable policy evidence.
5. Missing or conflicting information.

9. Manual Review

Manual review should be recommended when:

- Relevant policy evidence is unavailable.
- Required documentation is incomplete.
- Policy requirements conflict with the statistical prediction.
- Important applicant information is missing.
- The application falls outside clearly defined policy conditions.

10. AI Decision-Support Disclaimer

The AI system is an advisory decision-support tool. Human credit officers remain responsible for final underwriting decisions.